

THE TECH TWIST

AFTER ENJOYING PREMIUM VALUATIONS LAST YEAR, STOCKS OF MANY DIGITAL MAJORS HAVE CRASHED, THROWING A SPANNER IN THE WORKS FOR SEVERAL OTHERS LOOKING TO GET LISTED

BY **ASHISH RUKHAIYAR**

AFTER A STELLAR run last year, start-up stocks have hit a rough patch. Online food delivery major Zomato, which was valued at ₹1.3 lakh crore on the bourses last year, is now valued at ₹43,778 crore. Similarly, One 97 Communications—the parent firm of digital payments giant Paytm—was valued at ₹1.27 lakh crore last year; now, it is valued at ₹49,000 crore. It's a similar story at PB Fintech or Policybazaar that has seen its value drop from over ₹66,000 crore to around ₹25,000 crore.

True, the stock markets have slipped and lost ground in the last one year or so. The benchmark BSE Sensex touched an all-time high of 62,245.43 on October 19, 2021, but is currently hovering around 58,500, a fall of around 6 per cent. But most start-ups and digital majors have slipped much more than the benchmarks.

So, there's more than just the market bearishness. This slipping and sliding has not just affected the listed start-ups; it has, effectively, affected the whole ecosystem since there are many marquee names that have, or at least had, active plans of

getting listed in the public markets.

"The post-listing performance of digital majors has put a spanner in the works for several other start-ups that were looking to list in the public markets last year and this year. The pipeline has vanished," says Pranav Haldea, Managing Director of Prime Database, that tracks the markets.

"The focus now is on the bottom line rather than just the top line. Valuation in the private market is very different from valuation in the public market as can be seen with the issues that have been listed. Of course, the kind of euphoria that was seen in the private market wherein valuations kept growing multiple times in a matter of months remains difficult to explain," adds Haldea.

This assumes significance as listing was indeed being looked upon as a milestone event for these start-ups and digital majors—even for the Indian capital markets that never saw such ventures coming to the public markets—and was aptly corroborated by the emotional speeches by some founders on listing day.

More importantly, after the listing of start-up stars such as Zomato, Paytm, Policybazaar and Nykaa, many more well-known start-ups started taking concrete steps to get listed.

Data from Prime Database shows that online majors such as OYO, PharmEasy, Droom, MobiKwik, Snapdeal, Ixigo and Paymate have filed draft documents for initial public offers (IPO) with markets regulator, the Securities and Exchange Board of India (Sebi).

But it appears that all plans have been put on hold for the time being. So, what has caused the fall of listed start-ups and the ensuing pain in the overall start-up ecosystem?

"The challenge is that the characteristics and metrics that make a start-up successful in the venture

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